ANALYSING STOCK MAKET IN ISLAMIC *SHARI'A*

The stock market investment is gearing up tendency in contemporary society, to maximise the benefits and minimise the drawbacks but these transactions should be under Islamic *Shari'a*, understanding from its base, only IPO -Initial public offering- registered companies enable the digital investments as well as trading either. Thus, the investing strategies are corresponded to "Demand and Supply theory" rather than mere investing, they are manipulated by companies for excessive expectations In Islam, investing should be considered under four sources of legal doctrines. Mainly, the first two are primary sources and the other two are secondary sources in Islamic Shari' a. precisely, Islamic dealings (*Mu'amalath*) are under a central principle: "Anything other than what is explicit as not allowed is allowable, there needs evidence for anything to be stated as haram".

Shari'a Preventive Forum

Two major preventive reasons are:

1. *Ribha* (Interest)
2. *Gharar* (excessive risk)

The interest is prohibited in Islamic *Shari'a* which might considered as the eighth wonder of the terrestrial world and in the seventh deadly sin celestial world. But with some conditions that can overcome the frozen

aspect of interest, and Interest is purely prohibited in this monotheist religion by Qur'anic verses:

﴿ الَّذِينَ يَأْكُلُونَ الرِّبَا لَا يَقُومُونَ إِلَّا كَمَا يَقُومُ الَّذِي يَتَخَبَّطُهُ الشَّيْطَانُ مِنَ الْمَسِّ ۚ ذَٰلِكَ بِأَنَّهُمْ قَالُوا إِنَّمَا الْبَيْعُ مِثْلُ الرِّبَا ۗ وَأَحَلَّ اللَّهُ الْبَيْعَ وَحَرَّمَ الرِّبَا ۚ فَمَن جَاءَهُ مَوْعِظَةٌ مِّن رَّبِّهِ فَانتَهَىٰ فَلَهُ مَا سَلَفَ وَأَمْرُهُ إِلَى اللَّهِ ۖ وَمَنْ عَادَ فَأُولَٰئِكَ أَصْحَابُ النَّارِ ۖ هُمْ فِيهَا خَالِدُونَ ﴾

> *Those who eat Riba (usury) will not stand (on the Day of Resurrection) except like the standing of a person beaten by Shaitan (Satan) leading him to insanity. That is because they say: "Trading is only like Riba (usury)," whereas Allah has permitted trading and forbidden Riba (usury). So whosoever receives an admonition from his Lord and stops eating Riba (usury) shall not be punished for the past; his case is for Allah (to judge); but whoever returns [to Riba (usury)], such are the dwellers of the Fire - they will abide therein.*

Presumably, trading is allowed under *Shari'a* but without any interest, likewise, bank related dealings aren't free from interest except Islamic banking, emerging from GCC countries aiming to mould the society from economic backlashes that slowly getting acceptance throughout the world. Therefore, every enterprise even sole-proprietorship or partnership businesses are also acceptable until it is mixed with Interest. *Gharar* is a general aspect that includes many money-making ventures without such efforts but with high speculation. Nevertheless, the preventive things in basic consumption are also in this section even if he isn't the user like gambling, the enterprise of Alcohol products, pork, and sensual drugs. Abruptly, the entities is threat to nature or humankind also purely prohibited in *Shari'a*.

Digital Investments in Fair Equity

Digital Investments in exquisite equity is far more difficult amidst multi-national companies and developing queer enterprises. It does need more experience and courage for investing, there is no fluke, likely, that Black Rock is an investing company that invests in the world's many companies during a recession, more likely, Warren Buffet who is a billionaire, investor and philanthropist with more experience and courage, not just a fluke.

A quote from Warren Buffet that encourages the primary method of investing, saving:

"Don't save what is left after spending, instead spend what is left after saving".

Where do we invest under Islamic *Shari'a*?

Fortunately, the pure platforms for investing are mentioned in the "*Tasis*" webpage categorised under Islamic *Shari'a* regarding its components. The Interest in the company's income must be lower than three percentage of its annual income as well as the mere interest should be distributed for public developments like road construction or elsewhere. For instance, the debt of the company must be lower than 33 percentage of the total capital. This is proven by a theory, Debt to equity ratio, as a sum of the shareholder's equity divided by total liabilities.

Subsequently, Investments in Islamic *Shari'a* are quite well by above mentioned principles. So, investing directly in the stock market and mutual funds are much simpler and concrete. However, don't prejudice the legacy of a company but take an analysis of the company's capital history, Industry programming, Economic conditions, and future profit outlook, to understand where the interest begins and outrage outbreaks.

Trading View in Islamic *Shari'a*

Trading is buying and selling shares by calculating and predicting their future progress, which may be profitable or vice, depending on experience and courage but this assumption has a main role in the prevention of trading and the hard-core cause of prohibition is high speculation. Generally, trading is either a jackpot or a trash bin.

In trading, there are many categories based on timeline, market variation, etc. like Forex, Binary options, and Intraday trading. Promptly, intraday trading is timely classified trading that only exists for 24 hours open market, and the investor is compelled to withdraw his shares instantly even for a short loss. If the share isn't sold until the market closes, it will be sold for closing rate by automatic squaring system. The automatic squaring system forces the investor to withdraw their shares from the platform without their satisfaction with the dealing and this is the prime cause for prohibition in this trading even if there are acceptable platforms yet. The compulsion of withdrawing shares without satisfaction is preventable in Islamic *shari'a* proven by canonical hadith:

حَدَّثَنِي إِسْحَاقُ، أَخْبَرَنَا حَبَّانُ، حَدَّثَنَا شُعْبَةُ، قَالَ قَتَادَةُ أَخْبَرَنِي عَنْ صَالِحٍ أَبِي الْخَلِيلِ، عَنْ عَبْدِ اللَّهِ بْنِ الْحَارِثِ، قَالَ سَمِعْتُ حَكِيمَ بْنَ حِزَامٍ ـ رضى الله عنه ـ عَنِ النَّبِيِّ صلى الله عليه وسلم قَالَ " الْبَيِّعَانِ بِالْخِيَارِ مَا لَمْ يَتَفَرَّقَا، فَإِنْ صَدَقَا وَبَيَّنَا بُورِكَ لَهُمَا فِي بَيْعِهِمَا، وَإِنْ كَذَبَا وَكَتَمَا مُحِقَتْ بَرَكَةُ بَيْعِهِمَا "

The Prophet (ﷺ) said, "The buyer and the seller have the option of cancelling or confirming the bargain unless they separate, and if they spoke the truth and made clear the defects of the goods, then they would be blessed in their bargain, and if they told lies and hid some facts, their bargain would be deprived of Allah's blessings."

In a transaction, the seller or buyer has the right and must be satisfied with each other in the dealing. This algorithm doesn't maintain the satisfaction of dealers and the automatic squaring system compels the investors to withdraw for closing market rate.

Future trading is clearly preventable by the high speculation and the concept of selling which isn't in his hands is proven by canonical hadith:

وَعَنْ عَمْرِو بْنِ شُعَيْبٍ, عَنْ أَبِيهِ, عَنْ جَدِّهِ قَالَ: قَالَ رَسُولُ اَللَّهِ - صلى الله عليه وسلم -{ لَا يَحِلُّ سَلَفٌ وَبَيْعٌ وَلَا شَرْطَانِ فِي بَيْعٍ, وَلَا رِبْحُ مَا لَمْ يُضْمَنْ, وَلَا بَيْعُ مَا لَيْسَ عِنْدَكَ

"Allah's Messenger (ﷺ) said: "The condition of a loan combined with a sale is not lawful, now two conditions relating to one transaction, nor the profit arising from something which is not in one's charge, nor selling what is not in your possession.

Conclusion

In brief, stock market investments under Islamic *Shari'a* are under specific ethical guidelines derived from primary and secondary sources of Islamic legal doctrines. These guidelines ensure that transactions are free from *Riba* (interest) and *Gharar* (excessive risk), both of which are explicitly prohibited. The concept that "anything not explicitly forbidden is permissible" serves as a foundational principle in Islamic finance, allowing for investment opportunities that align with *Shari'a* principles while ensuring that economic activities are ethical and acceptable in Islamic jurisprudence.

The prohibition of *Riba* is rooted in Qur'anic verses that emphasize the severe consequences of engaging in deadly practices. The verse highlights the fundamental distinction between permissible trade and forbidden interest, encouraging Muslims to seek profit through lawful means. Similarly, *Gharar*, which encompasses high-risk speculative ventures and gambling, is prohibited to protect individuals and society from financial harm and ethical corruption. The essence of Islamic finance lies in promoting justice, fairness, and transparency in all transactions. Digital investments in fair equity present a contemporary challenge that requires a nuanced understanding of *Shari'a*-compliant platforms and investment strategies. The *Tasis* webpage serves as a valuable resource for identifying permissible investments, emphasizing that companies' interest income should be minimal and used for public welfare. Additionally, the debt-to-equity ratio must be carefully monitored to ensure compliance with Islamic principles.

Trading under Islamic *Shari'a* is permissible by avoiding high speculation and ensures mutual satisfaction between buyers and sellers. The automatic squaring system in intraday trading, which forces investors to sell their shares at market closing price regardless of their satisfaction, contradicts the prophetic teachings that emphasize the right of both parties to be satisfied with the transaction. Moreover,

future trading, which involves selling what one does not possess, is explicitly forbidden by hadith.

In essence, Islamic finance encourages investments that are not only profitable but also ethical and socially responsible. by considering to the principles of *Shari'a*, investors can engage in economic activities that contribute to their well-being and the broader society. The evolving landscape of digital investments requires continuous education and vigilance to ensure compliance with Islamic values, fostering a financial system that upholds the integrity and moral principles of Islam.

References

***Stock Market in Islamic Perspective**, Chartered Accountant Sabiq Ali,* https://youtu.be/qjhJ4ED9vmA?si=OAYWi73WU42Pjmjt

***Hadith- Business Transactions**, Sunnah.com,* https://sunnah.com/bulugh/7/24

Ayahsurahquran.com, https://ayahsurahquran.com/ar/2/translate-1-275

prophetmuhammed.com, https://www.prophetmuhammad.com/bukhari/211

***Islamic Finance: Law, Economics, and Practice** by Mahmoud A. El-Gamal*

MUHAMMED JASIM TM
DARUL ULOOM ISLAMIC DA'WA COLLEGE